Contracts Executed under Seal

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Introduction

- “The practice of sealing documents is one which is centuries old and which predates much of our modern legal history. Originally, it was used as a means of authenticating a document when most individuals were unable to sign their names. However, as time passed, the seal became a symbol of the solemnity of a promise and began to serve an evidentiary function. The seal rendered the terms of the underlying transaction indisputable, and thus rendered additional evidence unnecessary. […] A contract under seal derived, and still derives, its validity from the form of the document itself”. Friedmann Equity Developments Inc. v. Final Note Ltd., 2000 SCC 34 (CanLII), para 19.

- Executing a contract under sealing has legal consequences outside creating a valid contract. E.g., whenever a contract is executed under seal, only those parties named in the agreement as parties may sue or be sued on the contract (the sealed contract rule; dates back to the 16th century).

Determining whether a contract is under seal

- One of two ways:

1. Through operation of statute (see e.g., the Land Registration Reform Act, s. 13(1), which deems certain types of documents in relation to land transfers to be "under seal." This provision applies to transfer documents, charges and mortgages; it does not apply to an agreement of purchase and sale for a residential property), or
2. By application of the common law (requires a demonstration that the parties to the contract **intended** the contract to be "under seal".)

- At common law, a sealed contract (i.e., deed, covenant, formal contract, a specialty) was originally created with sealing wax impressed using a wax seal signet ring.

- The law on sealing has been much relaxed over the centuries. The relevant question now is whether the parties intended to create an instrument under seal.

Evidence relevant to demonstrating intent to create a sealed contract

- The court must examine the instrument and the circumstances surrounding its creation to determine whether there was an intention to create a seal.
- The form and material substance of the seal:
  - Focus on the physical appearance of the seal on the document (absence of an affixed wafer seal is not necessarily fatal)
  - Specific language (e.g., “given under seal”, “signed, sealed and delivered”, “sealed”, etc.)

- Acts relevant to sealing:
  - Focus on the procedure followed when the document was executed. Look for evidence of a conscious and deliberate act of applying a seal by the signatory(ies) to the agreement.
  - Thumbprinting
  - Words uttered (e.g., “I deliver this as my act and deed”)
  - The use of a *testimonium* clause and an attestation clause
  - The solemnity or formality of the execution process

Friedmann Equity Development Inc. v. Final Note Ltd 275

- According to this decision, what are some of the incidents of a contract under seal which differ from a simple contract (i.e., one supported by consideration)

- Is the seal still relevant today? Should we continue to attach legal significance to it?

Linton v. Royal Bank of Canada 275-276

The document, as originally executed, contained the phrase "signed, sealed and delivered" and the word "seal" in parentheses opposite the place provided for the signature or signatures. The plaintiff did not, in fact, apply his seal (that is, a wafer or other substance superimposed on the document), but executed it without altering the phrase "signed, sealed and delivered" or the word "seal" opposite his signature. When the document was returned to the defendant bank by Reid, one of the bank's employees or officers placed a seal on the document opposite the plaintiff's signature. The seal was so placed on the document without the knowledge or consent of the plaintiff. The court held that “in the circumstances of the case at bar, no such material change was effected” in the legal character of the document and hence did not void the document – it was already a document under seal before the employee placed the seal on the document.

Royal Bank of Canada v. Kiska 1967 CanLII 154 (ON CA), judgment of Laskin, JA ONLY

"We are in a field of formality; and so long as the doctrine of consideration subsists with its present constituents, it is commercially useful to have an alternative method of concluding a binding transaction. The formal contract under seal is not as formal today as it was in the time of Coke; apart from statute . . . there has been a recognized relaxation of the ancient common law requirement of a waxed impression. . . . Neither wax nor an impression is any longer obligatory. A gummed wafer is enough when affixed by or acknowledged by the party executing the document on which it is placed. I would hold also that any representation of a seal made by a signatory will do. The present case is an invitation to be satisfied with less than the foregoing. We confront the question of how far we should, as a common law development, relax formality and still affirm that we are not enforcing a gratuitous promise merely because it is in writing.

The document put forward by the bank has the familiar words 'Given under seal at . . . ' and 'Signed, Sealed and Delivered in the presence of.' At the end of the dotted line for the signature of the executing party is the bracketed word 'seal'. Neither the words 'Given under seal' nor the formula of 'Signed, Sealed and Delivered' suffice, even when taken collectively [sic], make a signatory chargeable under a sealed instrument when it has not in fact been executed under seal. The respective words are merely anticipatory of a formality which must be observed and are not a substitute for it. . . . Formality serves a purpose here and some semblance of it should be preserved, . . .

This brings me to the final point, namely, whether sufficient formality is preserved by the inclusion in the printed form of the bracketed word 'seal'. I think not, because this is merely an invitation to place a seal at that spot. It affirms the need of formality rather than dispensing with it; . . . A more difficult situation would exist if, instead of the bracketed word 'seal', there was an imprint of a wafer seal reproduced on the document. I would not equate 'indication of a seal' with indication of a place to put a seal, which is the case here."

"There must be something in the nature of a seal, some mark to indicate a seal affixed to the signatures to constitute a document a sealed instrument. The intention to seal under these circumstances, whether expressed or implied does not make seal. The recital 'signed, sealed and delivered,' etc. or the words 'whereunto we have affixed our seals' does not make a sealed instrument, if as a fact nothing is affixed to the signatures which the law recognizes as a seal." Per Laskin J.A.

Exercise 1

In April 2026, Carter, a retired schoolteacher residing in Vaughan, decided to donate a parcel of vacant land she owned to Housing for All Developments Inc. (HADI), a local home real estate developer. Carter had no children and was committed to supporting affordable housing. She hoped HADI would use the land to develop entry-level housing.

At a meeting with HADI's CEO, Carter stated that she wanted "no money at all. I do this for humanity and the good of the good people of Canada".

HADI prepared a written document titled "From Carter to HADI." The document contained the legal description of the property, a clause stating, "This gift is made voluntarily and without consideration," signature lines for both parties, and the following statement at the end: "IN WITNESS WHEREOF, the parties hereto have executed this Deed under seal as of the date first written above."

The document contained no wax seal, embossed corporate seal, or red seal sticker. No witnesses were present when it was signed. Before the signing, HADI's CEO texted an in-house lawyer: "Do we need a wax seal stamp for the old lady's gift at the signing ceremony?" The lawyer replied: "Not necessarily – what matters is what is in the parties' heads". The CEO responded: "Intriguing".

Carter signed the document, followed by HADI's CEO on behalf of the corporation. No money changed hands. Two days later, before any change in ownership of the land was registered, Carter informed HADI that she had changed her mind and no longer wished to transfer the property. HADI has sued Carter for specific performance, arguing that the document is binding because it was executed under seal.

Assess whether the document was executed under seal.

Exercise 2

In January 2026, Sarah and Michael Chen separated after twenty-five years of marriage. They had one daughter, Emily, aged twenty-two, who was completing a law degree in McGill.

Sarah and Michael entered into a written separation agreement dealing with property, spousal support, and Emily's expenses. The agreement named Sarah, Michael, and Emily as parties and stated that Sarah and Michael would "provide for Emily's reasonable living and educational expenses until she completes her law degree". Emily did not sign the agreement.

The agreement was prepared by Michael's lawyer. Its final page stated, "SIGNED, SEALED AND DELIVERED by the parties." Sarah and Michael signed beneath this statement. Immediately beside each signature was a red circular image containing the signer's name. The lawyer said that the images were intended to serve as seals, but neither Sarah nor Michael physically affixed anything to the document.

Before signing, Sarah asked whether the document needed to be sealed. The lawyer replied, "The document is being executed in the usual formal manner". Michael later told Sarah that they had "signed and sealed" their agreement. The agreement did not expressly state that it was a deed or that no consideration was required.

Emily later sought payment from Michael. He refused, arguing that she had given no consideration and had not signed the agreement. Was the agreement, or Michael's promise to Emily, executed under seal?